

Jose Alvarado

Contact Information

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Level 6, Colin Clark Building, St Lucia, Brisbane QLD 4072, Australia

Academic Positions

Lecturer (Assistant Professor), School of Economics, University of Queensland 2026–present

Education

Ph.D., Economics, Northwestern University 2025

Advisors: Martin Eichenbaum (Chair), Giorgio Primiceri, Matthew Rognlie

M.A., Economics, Northwestern University 2019

M.A., Economics, Universidad de Chile 2015

B.Sc.Eng., Industrial Engineering, Universidad de Chile 2013

Research Areas

Macroeconomics, Public Finance, Tax Policy, Wealth Inequality

Working Papers

“Tax Avoidance and Wealth Inequality”

Abstract: The hypothesis that wealth inequality is driven by the higher returns earned by the rich—thereby offsetting the progressivity of the tax system—overlooks a key dimension: tax avoidance. This paper shows that tax avoidance not only undermines the progressivity of the tax system but is also one of the reasons why the wealthy earn higher returns. Using micro-data from Chilean tax records, I quantify tax avoidance and find that the top 0.01% of taxpayers reduce their tax payments by 80% through corporate investments. To measure the impact of tax avoidance on wealth inequality, I calibrate a Bewley-Huggett-Aiyagari heterogeneous agent model, incorporating two departures from standard approaches: (i) endogenous portfolio choices between safe and corporate risky assets, and (ii) tax functions that account for tax avoidance. The model successfully replicates the 50% wealth share held by the top 1% in Chile. The main quantitative result is that, without tax avoidance, the top 1% wealth share decreases from 50% to 11%. These findings suggest that tax avoidance is a key driver of wealth inequality.

“The Long Lasting Effects of Warfare on Tax Progressivity: Evidence from World War II” (with Tomas Wilner)

Abstract: This paper studies how World War II reshaped progressive taxation. Treating the war as a natural experiment in a panel of 35 countries from 1929 to 2010, we estimate how much active participation raised a country’s top marginal income tax rate relative to what it would have been without the war. Our central finding is that the war raised top rates sharply and durably: five years after entry the top rate is about 38 percentage points higher, and three decades out about 42 points higher; the effect stays large for three decades and remains statistically distinct from zero for about five, before fading as top rates fall across countries after 1980. The estimates are robust to a wide range of inference methods and specifications, and the same design applied to World War I yields a similar but smaller effect. We interpret the persistence as a shift between political-economic equilibria rather than a change in preferences: by compressing the wealth distribution, the war induced a new equilibrium that kept top taxation high.

Work in Progress

“The Dynamics of the Distributional Impact of Fiscal Policy: a Macro-political Economy Approach”

Abstract: Why does the redistributive impact of fiscal policy vary across countries? While income inequality tends to be similar across nations before taxes and transfers, the degree of inequality can change significantly after these fiscal interventions. I develop a general equilibrium model with heterogeneous agents, where the extent of redistribution is determined endogenously. The findings reveal that the degree of redistribution is influenced by: (i) the magnitude of economic shocks, and (ii) the institutional rules under which fiscal policy is chosen.

“Capital Taxation and Political Institutions under Aggregate Risk” (with Alexandre Janiak)

Abstract: Across countries, more volatile economies levy lower effective capital taxes—with no comparable effect on labor taxes—and the reductions are largest where political institutions are strong. The standard optimal taxation literature cannot account for such variation: under a benevolent planner the long-run capital tax is zero. We show that a neoclassical growth model with a self-interested politician explains this through a precautionary motive: under aggregate risk, the capital tax is lowered optimally to smooth consumption for households and the politician. The mechanism makes a sharper, conditional prediction—the reduction is largest where political institutions are strong, because there the politician’s extraction motive is weakest—which the cross-country evidence confirms.

Fellowships & Awards	Best third-year Ph.D. student research paper, Susan Schmidt Bies Prize	2021
	University Fellowship, Northwestern University	2018–2022
	Best Industrial Engineer Graduated Award, Association of Engineers of Chile	2015
	National Masters Degree Fellowship, Chilean Ministry of Education	2014–2015
Teaching Experience	Lecturer, Universidad de Chile	2016–2018, 2023–2024
	Economics (undergraduate), Faculty of Physical and Mathematical Sciences	
	Teaching Assistant, Northwestern University	2019–2022
	Business Analytics (graduate), Macroeconomics (undergraduate), Law and Economics (undergraduate)	
	Teaching Assistant, Universidad de Chile	2013–2016
	Macroeconomics (undergraduate and graduate), Microeconomics (undergraduate), Statistics (undergraduate), Finance II (undergraduate)	
Research Experience	Research Assistant, Sofia Bauducco, Central Bank of Chile	2015–2018
	Research Assistant, Ernesto Pasten, Central Bank of Chile	2015–2018
	Research Assistant, Professor Benjamin Villena, Universidad de Chile	2015
Work Experience	Senior Economic Adviser, Ministry of Finance, Chile	2022–2026
	Junior Economist, Central Bank of Chile	2015–2018
Programming	Matlab, Python, Stata, R	
Languages	English (fluent), Spanish (native)	